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Empowering Professionals for a Sustainable Future

Accounting for Upstream Oil & Gas

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Finance and accounting is the universal business language that enables organisations to evaluate business economics, appraise investment decisions, manage resources and report upon these. Competitive advantage can be gained through enhanced financial management and improved allocation resources.

This course will help non-financial managers improve their knowledge and application of accounting and financial management within the oil and gas industry. The course will cover the key accounting methods in exploration, development and production. It goes on to examine how business decisions impact upon financial statements and how by understanding these impacts managers are better placed to evaluate their decisions. We will then look the financial impact of the contractual arrangements found in the industry, in particular the impact of Production Sharing Agreements upon results and reserves.

LOCATION

Dubai, UAE

London, UK

Kuala Lumpur, Malaysia

Rio de Janeiro, Brazil

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Day 1

Introduction

- Introductions and expectations
- Financial and accounting roles and responsibilities
- Oil and gas upstream value chain
- Types of accounts required by upstream oil and gas entities
- The language of Oil and Gas accounting and finance, terms and definitions
- Overview of contracting arrangements in the industry, including use of PSCs and joint ventures

Core Financial Principles

- Accounting rules, standards and policies
- The Balance Sheet
- The Income Statement
- The Cashflow statement and the difference between profit and cashflow
- IFRS vs. US GAAP, usage and key differences
- Expenditure: when is this an asset and when is it a cost to the business
- Impairment principles
- The importance of oil and gas resources and reserves

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Day 2

Oil and Gas Industry Accounting Principles

- Full cost vs. successful efforts methods
- How and why different accounting treatments exist
- Overview of full cost and successful efforts method accounting end-to-end

A review of the key elements of financial reporting, how they fit together and the language used by finance together with case study to build up the key accounts over the life of an oil and gas project.

Prospecting, exploration and evaluation

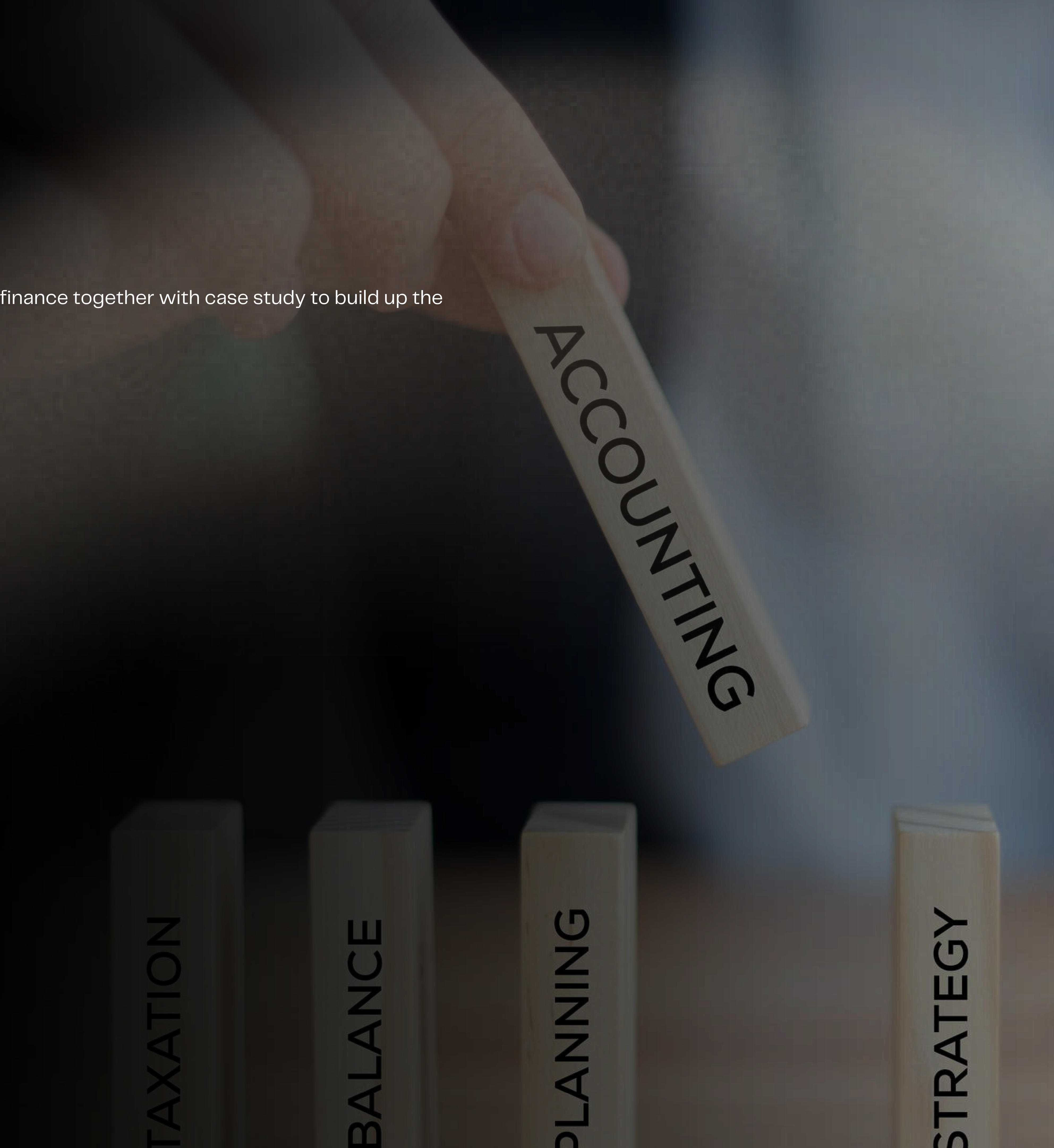
- How IFRS modifies the full cost and successful effort methods
- Use of framework and IFRS 6 to determine treatments
- Acquisition of mineral interests
- Use of cost centres
- How to treat dry holes
- Presentation and disclosures

Case studies – comparing IFRS approaches with US successful efforts & full cost accounting

Accounting for development

- Applying IAS 38 and the IASB framework
- Treatment of intangible development costs
- Capitalisation of interest
- Treatment of dry holes
- Impairment testing
- Cost centres, direct and indirect cost allocation
- Acquisitions of proved reserves

Case study – capitalising and allocating development costs



Day 3

Provisions & asset retirement obligations (IAS 37 and IFRIC 1 and IFRIC 5)

- Definitions, measurement and when to provide
- Disclosures and treatment of un-utilised provisions
- Capitalisation of asset retirement obligations
- Accounting for environmental clean up costs
- Accounting for rehabilitation funds

Case study – measurement and subsequent remeasurement of asset retirement obligations

Accounting for production

- Application of IAS 16 PP&E
- Cost centres and cash generating units in the upstream business
- Units of production depreciation method
- Impairment testing (application of IAS 36)
- Treatment of direct production costs and overheads

Case studies

Asset impairment

- Overview of economic valuation methods including DCF model, IRR, NPV, market value and fair value
- Impairment testing principles under IFRS
- Impairment testing of exploration assets; indicators and methods
- Cost centres for impairment testing; full cost vs. successful efforts
- Impairment testing on completion of the project evaluation

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Day 4

Revenue recognition (IFRS 15)

- Overview of IFRS 15
- Forms of contract and their impact upon revenue
- Measurement of oil and gas revenues
- Accounting for imbalance; differences in permitted treatments
- Treatment of royalties
- Case study: Accounting for revenue imbalances

Joint venture principles

- The nature of joint ventures and reasons why oil and gas companies participate in them
- Types of joint venture arrangements and their structure
- Typical provisions of joint venture agreements
- Relationship between operator and non-operator participants

Accounting by the operator

- COPAS model accounting procedures
- Budgets and approvals
- Cash calls
- Billing statements and reporting of expenditures
- Cost allocation methods, including operator accounting for materials inventory and overheads
- Responsibility of operator to provide sufficient timely information

Case studies: joint billing statements and cash calls

Reporting of joint ventures in the IFRS financial statements

- IFRS 11 joint arrangements and IAS 28 accounting for associates and joint ventures
- Equity methods of accounting
- Accounting process between Parent Company and SPC (Special Purpose Company)
- Responsibilities for correct IFRS reporting by operator / non-operator
- Accounting for exploration, development and production costs by the operator non-operator

Case study: accounting by the investor and investee for cash and non-cash contributions

Day 5

Oil and gas reserves

- Adoption of alternative accounting guidance in the absence of IASB standards
- Measuring and disclosing reserves; requirements of SEC / US GAAP
- Reporting of reserves by joint ventures and of interests in PSCs'
- Illustrations from published disclosures
- Performance ratios to analyse oil and gas reserves and profitability
- Case-study: using reported information to calculate and interpret key performance measures

The Economics of E&P Contractual Arrangements

- Contrasting contractual arrangements in tax and royalty regimes vs. production sharing contracts
- Economics of tax and royalty regimes and their impact on financial results
- Economics of production sharing contracts
- Accounting for production sharing contracts
- Impact of PSC's upon revenues, reserves and profitability
- The importance of strong financial control and correct cost classifications
- Audits and dispute resolution
- Accounting implications of different contracting with an emphasis on production sharing contracts.

Conclusions

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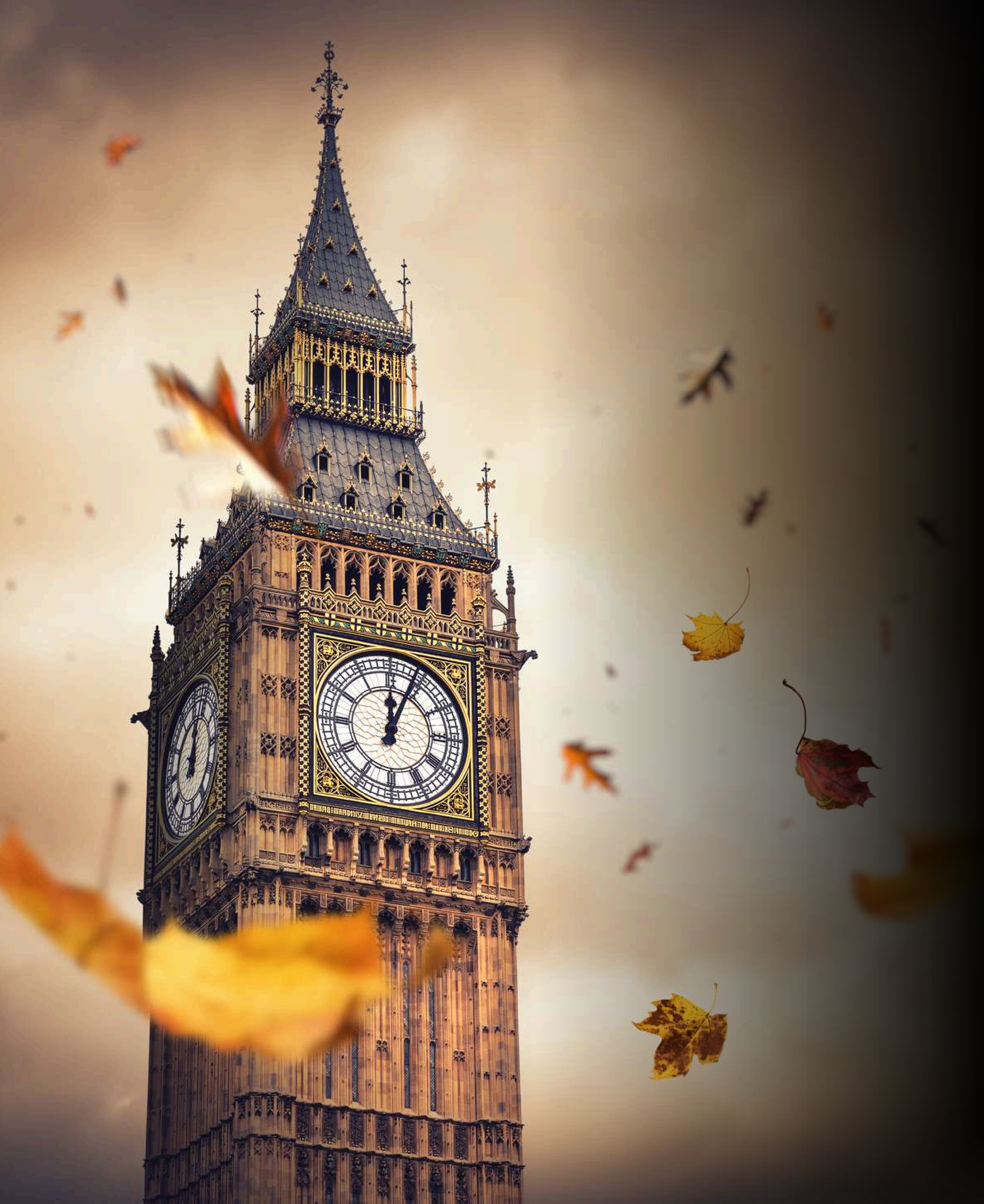

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